Anti-Money Laundering (AML) Policy

Riyadh Trust Bank — Synthetic Demo Document, not a real bank.

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1. Purpose

This Anti-Money Laundering Policy explains how Riyadh Trust Bank detects, prevents and reports money laundering and terrorist financing. Money laundering is the process of making illegally obtained money look legal by moving it through bank accounts and transactions. This policy protects the bank, its customers and the financial system. Every employee must read it and follow it.

2. The Three Stages of Money Laundering

Money laundering usually happens in three stages. Placement is when illegal cash is first put into the financial system, for example by depositing cash into an account. Layering is when the money is moved through many accounts and transactions to hide where it came from. Integration is when the money is used to buy property, cars or businesses so it looks like legal income. Staff must watch for all three stages, not only for large cash deposits.

3. AML Reporting Threshold

The AML reporting threshold is a key rule in this policy. Any single cash transaction of SAR 60,000 or more must be reported to the Compliance Department. Multiple linked cash transactions that together total SAR 60,000 or more within 7 days must also be reported, even if each single transaction is below the threshold. This is called structuring when a customer deliberately splits a large amount into smaller deposits to avoid the threshold, and structuring itself must be reported as suspicious.

Cash transactions include cash deposits, cash withdrawals and cash payments at the branch. The threshold applies to Saudi riyals and to foreign currency of equal value. When a transaction reaches the threshold, the branch officer must complete the Cash Transaction Report form on the same day and send it to the Compliance Department. The customer must not be told that a report has been filed.

4. Suspicious Activity Reporting

Some transactions are suspicious even when they are below the threshold. Examples include a customer who cannot explain where the money came from, a customer who makes many large deposits and then transfers the money abroad the same day, an account that is suddenly used very differently from its normal pattern, and a customer who asks the officer not to record a transaction. Any employee who sees suspicious activity must file a Suspicious Activity Report with the Compliance Officer within 24 hours. The employee must not tell the customer that a report has been made. This is called no tipping off, and breaking this rule is a serious offence.

5. Customer Due Diligence and Enhanced Due Diligence

Normal customer due diligence is the KYC check described in the KYC Policy. Enhanced due diligence applies to high-risk customers, politically exposed persons, and customers from high-risk countries. For these customers, the bank must ask for the source of funds and the source of wealth, obtain senior management approval, and monitor the account more closely. Enhanced due diligence must be refreshed every six months.

6. Sanctions Screening

Every customer name and every payment must be checked against the sanctions lists before a transaction is completed. If a name matches a sanctioned person or entity, the transaction must be stopped immediately and the Compliance Officer must be informed. No payment may be released to a sanctioned person under any circumstances.

7. Training and Awareness

All employees must complete AML training once a year. New employees must complete it within 30 days of joining. Branch managers must keep a record of who has completed the training. Any employee who is unsure whether a transaction is suspicious should ask the Compliance Officer — asking is always better than staying silent.

8. Record Keeping and Penalties

AML records, including transaction reports and suspicious activity reports, must be kept for at least ten years. Failure to follow this policy can lead to disciplinary action, loss of employment, fines for the bank and criminal prosecution for the employee. The bank has zero tolerance for any employee who helps a customer hide illegal money.

Arabic Summary

ملخص عربي

تشرح هذه السياسة مكافحة غسل الأموال وتمويل الإرهاب. يجب الإبلاغ عن أي معاملة نقدية واحدة بقيمة 60,000 ريال سعودي أو أكثر، وكذلك المعاملات المرتبطة التي يبلغ مجموعها 60,000 ريال خلال 7 أيام. يجب الإبلاغ عن أي نشاط مشبوه خلال 24 ساعة دون إخبار العميل. تُحفظ السجلات لمدة عشر سنوات، والتدريب السنوي إلزامي لجميع الموظفين.